



Treasury Inflation-Protected Securities (TIPS) are slightly different securities. The principal amount is adjusted by the changes in Consumer Price Index. TIPS do pay interest at a fixed rate, but the amount of the interest payment will vary from month to month.

If inflation is involved, the investor gets a bigger interest payment. But if the opposite happens—deflation—the investor's interest payment goes down.

The interest rate is set by an auction and TIPS are issued at five, 10, and 30 years. It's possible to bid for TIPS via a TreasuryDirect account.

There are two types of bids: noncompetitive and competitive. With a noncompetitive bid, the investor must accept the rate that's determined at auction. With a competitive bid, the investor is the one who decides what the yield must be. A competitive bid requires the use of a bank or broker.

Municipal bonds

There are investment opportunities at the state government level, too. Municipal bonds (called “munis”) are debt securities issued by state governments and local governments, such as cities and counties that need to sell bonds for funds.

A benefit for the investor who buys munis is that the interest is exempt from federal income tax. The bondholder is repaid the principal amount of the bond plus interest covering a specified number of years.

Two types of munis are commonly bought: General obligation bonds and Revenue bonds.

General obligation bonds are not secured by assets. The investor relies on the reputation and credibility (referred to as “full faith and credit”) of the issuer to repay the debt. These bonds are issued by states, cities, and counties. The issuer has the power to impose a tax, if necessary, to pay back the public.

Revenue bonds are backed by the revenues that come from a specific project or source, such as a local stadium, highway tolls, or even a hospital. Revenue bonds are riskier so interest rates are higher.

PUBLIC FINANCE RESOURCES

Internal Revenue Service (IRS)

Filing income taxes to the IRS can be done online, by mail, by using commercial tax software, or by a tax preparing service: www.irs.gov

The IRS website has current information about excise taxes and what forms to file: www.irs.gov/businesses/small-businesses-self-employed/excise-tax

State Taxes

For information about state income taxes and filing options by state, visit the Federation of Tax Administrators (FTA): www.taxadmin.org/state-tax-forms

National Debt

The Office of Management and Budget (OMB) assists the president in meeting budget, policy, and regulatory objectives: www.whitehouse.gov/omb

To track the US debt, visit www.usdebtclock.org

To bid for TIPS via a TreasuryDirect account: https://www.treasurydirect.gov/indiv/myaccount/myaccount_treasurydirect.htm

The Federal Reserve Bank

The Fed's goal is to keep the economy of the US stable and secure. It also offers valuable information for consumers to help them understand personal finance: www.federalreserve.gov

Spending and interest on federal debt in 2015

Discretionary spending	\$1.1 trillion	29.34%
Interest on the debt	\$229.15 billion	6.03%
Mandatory spending	\$2.45 trillion	64.63%